

ECO 101 Tutorial 5: Surplus

- Q1.** We have buyers and sellers of used Nintendo switches with the Willingness to Pay (WTP) and Willingness to Sell (WTS) for each given in the table below. Each buyer (and seller) buy (sell) only 1 unit if they buy (or sell).

What will be the change in Consumer Surplus if market price changes from \$20 to \$30?

Buyer	WTP	Seller	WTS
A	\$34	W	\$5
B	\$17	X	\$20
C	\$53	Y	\$17
D	\$23	Z	\$40

- A. -\$30
 B. -\$23
 C. -\$20
 D. -\$13
 E. -\$10
- Q2.** Natalia paid \$50 for a concert ticket that she values at \$127. She sells the ticket to Jessica for \$75. Jessica's value from attending the concert is \$90. What is the change in Total Surplus when this happens?
- A. -\$37
 B. -\$15
 C. \$15
 D. \$37
 E. \$77
- Q3.** Willing to pay \$700 for a Taylor Swift concert ticket, you were thrilled to only have to pay \$400. Billie is willing to pay you \$1000 for your concert ticket. How much (additional) surplus is created if you sell your ticket to Billie for \$999?
- A. \$1
 B. \$299
 C. \$300
 D. \$599
 E. \$600
- Q4.** We have potential buyers and sellers, each buying/selling one unit only. Their Willingness to Pay (WTP) and Marginal Costs (MC) are given in the table below. If they interact in a perfectly competitive market, Total Surplus is...

Buyers	WTP	Sellers	MC
A	\$11	W	\$16
B	\$15	X	\$10
C	\$20	Y	\$17
D	\$16	Z	\$12

- A. \$7
- B. \$10
- C. \$12
- D. \$14
- E. Unable to determine without market price.

Q5. Assume perfectly competitive markets with upward-sloping supply and downward-sloping demand. Assume polyester t-shirts are an inferior good while cotton t-shirts are a normal good. If there is an increase in the price of cotton t-shirts, then in the market for **polyester t-shirts** total surplus _____ and consumer surplus _____

- A. decreases; decreases.
- B. decreases; increases.
- C. increases; decreases.
- D. increases; may increase or decrease.
- E. may increase or decrease; may increase or decrease.